Absorbing Transition DID Results: AKM Violation Bad — Downgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		0.109***		-0.008		0.157***
		(0.038)		(0.036)		(0.032)
× Voluntary Rotation		0.069***		0.017***		0.067***
		(0.010)		(0.005)		(0.009)
Pooled	0.073***		0.013***		0.073***	
	(0.008)		(0.005)		(0.007)	
Mandatory − Voluntary		0.039		-0.025		0.091***
Difference p-value		0.317		0.492		0.006
Observations	42,978	37,134	42,978	37,134	42,978	37,134
Firms	5,280	4,931	5,280	4,931	5,280	4,931
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		0.139***		0.054*		0.149***
		(0.039)		(0.032)		(0.044)
× Voluntary Rotation		0.084***		0.026***		0.077***
		(0.014)		(0.008)		(0.013)
Pooled	0.097***		0.024***		0.093***	
	(0.013)		(0.007)		(0.012)	
Mandatory − Voluntary		0.055		0.029		0.072
Difference p-value		0.190		0.386		0.118
Observations	27,110	25,539	27,110	25,539	27,110	25,539
Firms	3,184	3,161	3,184	3,161	3,184	3,161
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		0.096***		0.019		0.116***
		(0.021)		(0.017)		(0.020)
× Voluntary Rotation		0.053***		0.011***		0.058***
		(0.006)		(0.004)		(0.006)
Pooled	0.068***		0.015***		0.070***	
	(0.005)		(0.003)		(0.005)	
Mandatory − Voluntary		0.042*		0.008		0.058***
Difference p-value		0.058		0.624		0.005
Observations	47,379	41,074	47,379	41,074	47,379	41,074
Firms	5,521	5,204	5,521	5,204	5,521	5,204
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		0.087***		0.014		0.107***
		(0.020)		(0.015)		(0.018)
× Voluntary Rotation		0.057***		0.013***		0.061***
		(0.006)		(0.004)		(0.005)
Pooled	0.068***		0.015***		0.070***	
	(0.005)		(0.003)		(0.004)	
Mandatory − Voluntary		0.029		0.001		0.045**
Difference p-value		0.159		0.954		0.017
Observations	49,201	42,745	49,201	42,745	49,201	42,745
Firms	5,521	5,246	5,521	5,246	5,521	5,246
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.